

As of December 1939	Shawmut Association	Shawmut Bank Investment Trust
Bonds	None	\$3,040,000 Senior Debenture 4 ¹ / ₂ s and 5s @ 85 (average) = \$2,585,000 \$950,000 Junior Debenture 6s @ 50 (est) = \$480,000
Stock	390,000 sh. @ 10 ¹ / ₄ \$4,000,000	75,000 sh. @ 3 ¹ / ₂ 260,000
Total capitalization	\$4,000,000	\$3,325,000
Net asset value (September 1939)	7,201,000	(November 1939) 3,153,000
Ratio: Senior bonds at market to net assets		82%
Ratio: Total capitalization at market to net assets	55%	107%
12 months' investment income*	(To September 30) 198,000	(To November 30) 114,000
Per cent earned on capitalization at market	5.0	3.5

* Excluding gain or loss on security sales.

That the Shawmut *Association* stock is more attractive than the *Investment Trust* debentures at the prices quoted is scarcely open to challenge. Undoubtedly, also, the investor who would consider the bond issue to be "safer" than the Association shares is being misled by the *form* into overlooking the *essence*. Yet something remains to be said of the effect of these diverse forms upon the experience of the investor and consequently upon his attitude. The Investment Trust bonds do carry a certain assurance of continued income, because interest must be paid regularly or else the company faces insolvency. It is true for the same reason that special efforts will be made to pay them off at or before maturity in 1942 and 1952. Therefore we find that the company has a special inducement to buy in bonds at a discount—since they must ultimately be paid at par—and thus one-third of the issue has been reacquired. This policy has served to maintain the market price to an important extent and to improve the position of the remaining bonds.

None of this is true with respect to the Shawmut Association shares. They have in fact received continuous dividends since 1929, averaging 65 cents, or 6¹/₂% on the current price. But the rate has been variable,